

MANAGED IT & CLOUD SERVICES · CYBERSECURITY
TELECOM & UCAAS · SYSTEMS INTEGRATION
ELECTRONICS & HARDWARE · GOVERNMENT TECHNOLOGY

BENCHMARK® INTERNATIONAL

QUARTERLY INDUSTRY REPORT | Q4 2026

TECHNOLOGY

Mergers and acquisitions across technology services, hardware, and government technology

WHAT'S INCLUDED

01	INSIGHTS	Key trends, costs buyers are repricing, perspectives on six sectors, what we are reading, and our view
02	SECTOR ACTIVITY	Twelve recent M&A transactions, buyer profiles, 51 listed companies, earnings commentary, and eight cost and demand indicators
03	ABOUT BENCHMARK INTERNATIONAL	The firm, the Middle Market team, and how to start a conversation

OCTOBER 2026 | JARED HARDIN, MANAGING DIRECTOR

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Our Team

The Middle Market team leads each engagement from the first conversation through signing and closing.

Middle Market

The Middle Market team represents owners of privately held companies with $100 million to $500 million of total enterprise value in strategic sales, mergers, and qualifying change-of-control transactions.

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- Managed IT & Cloud Services
- Cybersecurity
- Telecom & UCaaS
- Systems Integration
- Electronics & Hardware
- Government Technology

Benchmark International Middle Market team as of October 2026.

01 Insights

- Key trends in technology
- Costs buyers are repricing
- Perspectives on six sectors
- What we're reading
- Our view



Key Trends in Technology

Six developments are shaping demand, pricing, and deal activity as the fourth quarter begins.

AI infrastructure sets the pace of demand — +62.5%

Gartner expects IT spending of $6.37 trillion in 2026, up 14.2%, with data center systems up 62.5% and IT services up 5.3% (Gartner). Cloud infrastructure revenue grew 43% in the second quarter (Synergy Research Group).

Celestica, TD SYNNEX, and Wesco each reported double-digit growth on data center demand in the latest quarter (page 22).

Consolidators keep buying recurring revenue — 64

Buyers announced 64 acquisitions of managed service providers in the first quarter, 73% more than a year earlier, and outside investors led 80% of them. Evergreen Services Group alone completed 47 acquisitions in 2025 (Omdia).

Evergreen, Thrive, Integris, and The 20 MSP are each absorbing several providers a year, and contracted managed revenue is what they underwrite.

Financing became more expensive in the third quarter — 5.24%

The Federal Reserve raised its target range to 3.75% to 4.00% on September 16 (Federal Reserve) and the 10-year Treasury yielded 5.24% on October 1 (US Treasury). Platform acquisition debt fell to 2.9x EBITDA from 3.4x (GF Data via ACG).

At 2.9x debt and a 7.0x average price, sponsors are funding about 60% of a purchase with equity, which favors sellers with contracted revenue.

Security budgets grow while the defense mandate pauses — $240B

Gartner's July 2025 forecast puts 2026 security spending at $240 billion, up 12.5% (Gartner); cybercrime losses reached $20.9 billion in 2025 (FBI). The Department of War suspended CMMC third-party certification on July 13 (Department of War CIO).

The review closed September 11 and its report is unpublished, so a Level 2 certificate signals readiness without a contract requirement behind it.

Hardware order books are filling faster than factories ship — 1.39

North American EMS bookings rose 53.5% in August while shipments rose 1.0%, a three-month book-to-bill ratio of 1.39 (Global Electronics Association). Section 301 duties of 10% to 12.5% took effect July 24 as the Section 122 duty expired (Wiley Rein).

Component prices are up 26.7% in a year (page 23), so backlog booked at 2025 prices needs pass-through terms to hold its margin.

Federal technology budgets rise as award timing slips — $75.7B

The fiscal 2027 request restores civilian agency IT to $75.7 billion after a cut to $67.9 billion in fiscal 2026 (FedScoop). A continuing resolution signed September 2 runs through December 11 and delays new program starts (SpacePolicyOnline).

Defense-weighted CACI grew 17.6% while civilian-weighted Booz Allen fell 4.2% (page 22); contract mix sets the price.

WHAT IT MEANS FOR OWNERS

Buyers pay most readily for contracted, recurring revenue and for capability that customers or regulators require. Completed middle-market transactions averaged 7.0x EBITDA in the second quarter (GF Data via ACG), and 87% of sales above $5 million drew three or more offers (IBBA and M&A Source).

Figures are the latest published as of October 14, 2026. EMS is electronics manufacturing services. CMMC is the Cybersecurity Maturity Model Certification for defense suppliers.

Tariffs, Copper, and Financing: Costs Buyers Are Repricing

Tariffs, component and copper prices and interest rates have each moved in the past year and change what buyers treat as normal earnings.

A technology company that reaches the market in the next year will present earnings that passed through three tariff regimes, a 27% rise in component prices, a record copper price, and the first increase in the federal funds rate since 2023. Buyers are rebuilding each of those costs period by period before they settle on the earnings they will pay for.

The effect differs by business. Manufacturers and distributors that import components carry duty exposure, integrators that fix a price on cabling and power work carry copper exposure, and managed service firms with contracted revenue carry mostly financing exposure.

> *An owner who can show landed cost by period, copper recovery by contract, and a clear account of how the business is financed shortens diligence and protects the earnings figure the price is built on.*

WHAT BUYERS ARE REBUILDING

01 Tariffs and components

The Supreme Court held on February 20 that the International Emergency Economic Powers Act does not authorize tariffs, a 10% Section 122 tariff ran until it expired on July 24, and Section 301 tariffs of 10% to 12.5% took effect that day. A 25% Section 232 tariff applies to a narrow set of advanced chips, Section 301 duties on Chinese semiconductors remain at 50%, and component prices rose 26.7% in the year to August (Bureau of Labor Statistics via FRED).

WHAT BUYERS ASK FOR A bill of materials by country of origin with duties paid since February 2025, the status of any refund claim, and the contract terms that pass tariffs through to customers.

02 Copper and power

Copper averaged $13,543 a ton in July, up 38.6% from a year earlier, and reached a record $14,875 a ton on the London Metal Exchange on September 10. A 50% Section 232 tariff applies to semi-finished copper products, and Cushman & Wakefield reports that data center construction costs per megawatt are up 21% since late 2024, with switchgear up 60% and some equipment lead times beyond two years.

WHAT BUYERS ASK FOR Contracted and spot pricing for copper-bearing cable and switchgear on backlog projects, the escalation clauses that apply, and the margin effect of a 10% move in copper.

03 Financing

The Federal Reserve raised its target range to 3.75% to 4.00% on September 16, and the 10-year Treasury yielded 5.24% on October 1. Total debt on middle-market platform buyouts fell to 2.9x EBITDA from 3.4x in the second quarter against an average price of 7.0x (GF Data via ACG) and earn-outs appeared in 24% of 2025 transactions with a median equal to 34% of the closing payment (SRS Acquiom , as summarized by Fasken).

WHAT BUYERS ASK FOR How much of the price is paid in cash at closing, how much is contingent, and how much is rolled into the buyer's equity, and how the company's own debt is structured.



THE REPRICING IN FOUR FIGURES

+26.7%
Semiconductor and electronic component prices, one year to August

+38.6%
Copper price, one year to July

3.75% to 4.00%
Federal funds target range after the September 16 increase

2.9x
Total debt to EBITDA on platform buyouts in the second quarter, down from 3.4x

Higher rates lower the debt a sponsor can place against the same earnings, so price support shifts toward strategic buyers that fund purchases from cash flow.

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Tariff rates and dates are as described in the linked law firm and trade summaries, and a broader chip and server tariff has been reported as under consideration without a rate or date. Copper is the monthly average price published by the International Monetary Fund via FRED, and the record is an intraday London Metal Exchange price. Construction cost figures are from Cushman & Wakefield, leverage and price from GF Data via ACG for the second quarter of 2026, and earn-out figures from the SRS Acquiom 2026 deal terms study of 2025 transactions.

Perspectives on Six Sectors

Each sector has its own buyers and drivers.

MANAGED IT & CLOUD SERVICES

Consolidators are buying recurring revenue and the strongest providers are earning record margins.

ACTIVE BUYERS

Evergreen Services Group, The 20 MSP, Integris, Thrive, CompassMSP, and Magna5; ePlus and Cognizant among public buyers

LISTED REFERENCE COMPANIES



CYBERSECURITY

Losses and staffing shortages are moving security budgets to outside providers.

ACTIVE BUYERS

LevelBlue, CyberMaxx, A-LIGN, and Accenture in services; Palo Alto Networks, Google, and ServiceNow in software

LISTED REFERENCE COMPANIES



TELECOM & UCAAS

Infrastructure investors are buying fiber while cloud voice grows about 5% a year.

ACTIVE BUYERS

Verizon, AT&T, and T-Mobile with KKR and EQT in fiber; Point Broadband, Ezee Fiber, Vero Fiber, Rightfiber, and TDS Telecom regionally

LISTED REFERENCE COMPANIES



SYSTEMS INTEGRATION

Data center construction and security upgrades are filling integrator backlogs.

ACTIVE BUYERS

Pavion, Convergint, Everon, Securitas Technology, and Knox Lane in security; 26North in audiovisual; Myriad360 and Net at Work in IT

LISTED REFERENCE COMPANIES



ELECTRONICS & HARDWARE

Order books are filling faster than factories can ship.

ACTIVE BUYERS

Jabil, Sanmina, and Flex among public manufacturers; Transom Capital, Tide Rock, Align Capital Partners, and Arcline among sponsors

LISTED REFERENCE COMPANIES



GOVERNMENT TECHNOLOGY

Budgets for cyber, AI, and mission software are rising while award timing and procurement rules shift.

ACTIVE BUYERS

Leidos, Booz Allen, Parsons, and SAIC; sponsor-backed ERT, Xpect Solutions, B&A, and Detroit Defense

LISTED REFERENCE COMPANIES



Active buyers are drawn from transactions announced between January 2025 and October 2026. Company marks are the property of their owners and are shown for identification.

What We're Reading

Primary sources and trade reporting from the quarter just ended.

Selected industry reading

Developments affecting technology company valuations and sales.



GARTNER — July 27, 2026

Gartner Forecasts Worldwide IT Spending to Grow 14.2% in 2026, Totaling $6.37 Trillion

> *"Building the compute capacity required for AI is the largest infrastructure project ever attempted by humanity."*
>
> John-David Lovelock, Distinguished VP Analyst, Gartner

Key takeaway. Data center systems spending is forecast to rise 62.5% to $822 billion while IT services rise 5.3% to $1.57 trillion, so service firms tied to the infrastructure build-out are growing faster than the rest of the market.

READ HERE

CHANNEL DIVE — August 19, 2026

Private equity, cybersecurity drive managed services industry consolidation

> *"ARR is what attracted private equity to the managed services space. It's nice because it's so predictable."*
>
> Jessica Davis, Principal Analyst, Omdia

Key takeaway. Acquisitions of managed service providers rose 73% to 64 in the first quarter, with 37 in North America. Predictable annual recurring revenue is what investors are paying for.

READ HERE

GLOBAL ELECTRONICS ASSOCIATION — October 1, 2026

North American EMS Orders Outpace Shipments in August as Bookings Rise 53.5% Year-Over-Year

> *"Strong bookings support the production outlook, but securing the materials needed to fulfill those orders remains a challenge."*
>
> Dr. Shawn DuBravac, Chief Economist, Global Electronics Association

Key takeaway. Bookings rose 53.5% while shipments rose 1.0%. Buyers value backlog that converts to shipments, which makes component supply a diligence question.

READ HERE

DEPARTMENT OF WAR, CHIEF INFORMATION OFFICER — July 13, 2026

About CMMC: Phase II requirements suspended

> *"All Phase I self-assessment requirements remain firmly in place."*
>
> Department of War Chief Information Officer, CMMC program page

Key takeaway. Third-party certification for defense suppliers is paused; the task force report reached the CIO on September 11 and is unpublished. Self-assessment against NIST 800-171 still applies (McGuireWoods analysis).

READ HERE

Quotations are reproduced as published. ARR is annual recurring revenue. EMS is electronics manufacturing services. NIST 800-171 is the federal standard for protecting controlled unclassified information.

Our View

Buyers favor contracted revenue and backlog that converts to cash.

OUR POSITION

Buyers pay full prices for contracted revenue, essential capabilities, and backlog that converts to cash. Lower debt availability makes them more selective elsewhere.

About 60%

of a typical sponsor purchase is funded with equity, at 2.9x debt against a 7.0x average price (GF Data via ACG).

87%

of sales above $5 million drew three or more offers (IBBA and M&A Source).

7 of 11

named sellers in our recent technology transactions were bought by a company in their own or an adjacent field (page 13).

SECTOR	DEMAND	OUR VIEW
MANAGED IT & CLOUD SERVICES	●●●●○ STRONG	Consolidators announced 64 provider acquisitions in the first quarter. Listed IT services trade at 9.7x. Buyers pay more for contracted managed revenue than for project and resale revenue.
CYBERSECURITY	●●●●○ STRONG	Strategic buyers pay for security that protects physical operations, as the $3.25 billion Dragos valuation shows. With CMMC certification paused, buyers will credit a Level 2 certificate as readiness and test the self-assessment behind it.
TELECOM & UCAAS	●●●○○ STEADY	Infrastructure funds and adjacent network operators buy local fiber, as TDS showed in New Hampshire. Cloud voice grows about 5% a year. Retention and paid AI products, now 13% of ARR at RingCentral, influence value.
SYSTEMS INTEGRATION	●●●●○ STRONG	Data center construction reached an $85.0 billion annual rate in August, and sponsor-backed platforms such as Pavion and Convergint are paying for tenure and local service density. Copper is up 38.6% in a year, so buyers will test whether fixed-price backlog carries escalation
ELECTRONICS & HARDWARE	●●●●● STRONGEST	Bookings outpace shipments at a 1.39 book-to-bill and listed manufacturers re-rated to 17.4x, the strongest seller position in the report. Buyers will diligence backlog conversion and pass-through terms, with component prices up 26.7%.
GOVERNMENT TECHNOLOGY	●●●○○ MIXED	Contract mix sets the price: defense-weighted CACI grew 17.6% while civilian-weighted Booz Allen fell 4.2%. The continuing resolution through December 11 delays new starts, so owners should present funded backlog by agency and option period.

OUR ADVICE TO OWNERS

1. Document contracted revenue by customer, term, and renewal history; equity-funded buyers price what they can
2. Add pass-through or escalation terms to open backlog before a process, with component and copper prices up more
3. Approach strategic buyers in adjacent fields alongside sponsors; seven of our eleven named sellers sold to one.

Views are those of the Benchmark International Middle Market team, drawn from the figures in this report, which are the latest published as of October 14, 2026. Buyer demand is the team's assessment for owner-operated businesses in each sector. Page references are to this report.

02
Sector Activity

- Select recent M&A transactions
- Benchmark International transactions
- Who is buying
- Public companies: performance, valuation, and metrics
- Earnings and commentary
- Cost and demand indicators



Select Recent Technology M&A Transactions

Ten of the twelve transactions carry a disclosed price, six carry a value to revenue multiple, and two carry a multiple of earnings.

ANNOUNCED	TARGET AND ACQUIRER	BUSINESS AND TERMS	STATED VALUE	VALUE TO REVENUE	VALUE TO EARNINGS
APR 2026 MANAGED IT & CLOUD	astreya ACQUIRED BY cognizant	Cognizant agreed in April and completed on June 22 the purchase of Astreya, a San Jose managed services provider with about 2,600 professionals that runs data center, AI laboratory, and network environments for six of the largest hyperscalers (Cognizant; Reuters).	About $600M reported at announcement; Cognizant states a $634M purchase price at close	About 1.1x reported by EY from the $600M headline	Not disclosed
SEP 2026 MANAGED IT & CLOUD	GDT ACQUIRED BY Softcat	Softcat, a UK reseller, agreed in September to acquire General Datatech, a Dallas multi-vendor IT solutions provider owned by H.I.G. Capital since 2021, with a global operations center in Bangalore. Closing is expected by the end of the first quarter of fiscal 2027 (H.I.G. Capital; Channel Dive).	$1.05B enterprise value, as stated by H.I.G. Capital	Not disclosed	Not disclosed
JUN 2026 CYBERSECURITY	DRAGOS runZero NETRISE ACQUIRED BY accenture	Accenture agreed in June and completed on September 21 a majority investment in the industrial security firm Dragos and the purchase of runZero and NetRise, which together had about $208 million of annual recurring revenue in June, up 53% (SecurityWeek; Constellation Research).	About $4.18B combined enterprise value; Dragos alone was valued at $3.25B, as stated by its CEO	About 20.1x combined annual recurring revenue, calculated from the stated figures; the price covers a majority of Dragos	Not disclosed
OCT 2026 CYBERSECURITY	VARONIS ACQUIRED BY proofpoint. THOMABRAVO	Proofpoint, owned by Thoma Bravo, agreed on October 15 to acquire Varonis, a public data security and access governance software company, for $49.75 per share in cash, a 52% premium to its June 22 closing price. Closing is expected in the first half of 2027 (Proofpoint; SecurityWeek).	About $6.3B in cash; the release does not label it equity or enterprise value	8.4x trailing revenue to June 30, as stated by Proofpoint	Not disclosed
APR 2026 TELECOM & UCAAS	Granite State COMMUNICATIONS® ACQUIRED BY TDS	TDS Telecom agreed in April and completed on September 1 the purchase of Granite State, a New Hampshire fiber and voice provider whose more than 11,000 fiber service addresses sit next to the TDS footprint (TDS Telecom; Light Reading).	Not disclosed	Not disclosed	Not disclosed
SEP 2026 TELECOM & UCAAS	Sangoma ACQUIRED BY BRC Group Holdings, Inc.	BRC Group Holdings agreed on September 28 to acquire Sangoma, a Markham, Ontario provider of business communications software with more than 100,000 business customers and about $200 million of trailing revenue, for cash and BRC shares worth US$5.225 per Sangoma share (Business Wire).	About $204M enterprise value, as stated by the parties	About 1.0x trailing revenue, calculated from the stated figures	Not disclosed

Values and multiples are as stated by the acquirer or reported in the linked source. Value to revenue is our calculation where marked. Company names are the property of their owners and are used for identification. Two transactions are shown for each of the six sectors on pages 11 and 12, and transactions advised by Benchmark International appear on page 13.

Select Recent Technology M&A Transactions (Continued)

Public acquirers disclosed prices for the larger deals, while sponsor-backed platforms and regional operators kept terms private.

ANNOUNCED	TARGET AND ACQUIRER	BUSINESS AND TERMS	STATED VALUE	VALUE TO REVENUE	VALUE TO EARNINGS
SEP 2026 SYSTEMS INTEGRATION	Communication Company, a Pavion Company ACQUIRED BY Pavion Connect and Protect	Pavion, backed by Wind Point Partners, acquired Communication Company, a South Bend, Indiana integrator founded in 1976 that designs, installs, and services life safety, security, audiovisual, and communications systems for healthcare, education, and commercial customers (SecurityInfoWatch). Sponsor-backed platforms rarely disclose price.	Not disclosed	Not disclosed	Not disclosed
JUN 2026 SYSTEMS INTEGRATION	nagarro ACQUIRED BY Persistent	Persistent Systems, which held 21%, launched a voluntary cash offer on June 28 of EUR 81 per share for Nagarro, a listed digital engineering and IT services group, a 140% premium to the undisturbed price. Closing is targeted for the fourth quarter of 2026 or the first quarter of 2027 (Angel One; EY).	EUR 1.27B enterprise value, as reported by Angel One	1.27x trailing revenue to March 2026, as reported; EY shows about 1.3x	9.1x trailing EBITDA to March 2026, as reported; EY shows about 9.3x
JUN 2026 ELECTRONICS & HARDWARE	D-FEND Solutions ACQUIRED BY Motorola Solutions	Motorola Solutions agreed in June and completed on August 20 the purchase of D-Fend, an Israeli counter-drone company whose radio frequency cyber-takeover technology is deployed in more than 30 countries and which expected about $185 million of revenue in 2026 (Motorola Solutions).	$1.5B as stated by Motorola Solutions	About 8.1x expected 2026 revenue, calculated from the stated figures	Not disclosed
OCT 2026 ELECTRONICS & HARDWARE	Ophir® ACQUIRED BY TTM Technologies	TTM Technologies agreed on October 19 to buy the Ophir Optics business from MKS, a maker of precision infrared optics with plants in Israel and Romania, for about $650 million in cash. Closing is expected in the second quarter of 2027 (TTM Technologies; MKS).	About $650M cash base price, as stated by TTM	Not disclosed	10.3x expected FY2027 adjusted EBITDA, as stated by TTM; MKS states more than 18x on FY2026
JUN 2026 GOVERNMENT TECHNOLOGY	ULTRA I&C ACQUIRED BY Booz Allen	Booz Allen agreed in June and completed on August 24 the purchase of Ultra I&C Mission Solutions, an Austin, Texas defense software, encryption, and edge computing business with about 220 employees, and stated EBITDA margins well above 20% without giving a dollar figure (Booz Allen; Washington Exec).	$720M purchase price, as stated by Booz Allen	Not disclosed	Not disclosed
JUL 2026 GOVERNMENT TECHNOLOGY	(RAFT) ACQUIRED BY Leonardo DRS	Leonardo DRS agreed on July 28 to acquire Raft, a McLean, Virginia mission software firm founded in 2018 that provides multi-domain AI data fusion to defense customers, for $450 million in cash, and expects closing in the fourth quarter of 2026 (Leonardo DRS; GovCon Wire).	$450M cash base price, as stated by Leonardo DRS	Not disclosed	Not disclosed

Values and multiples are as stated by the acquirer or reported in the linked source. Value to revenue is our calculation where marked. Euro figures are not converted. Company names are the property of their owners and are used for identification. Booz Allen, Motorola Solutions, and Leonardo DRS figures are from their own releases and filings.

Benchmark International's Technology Transactions

Closed transactions in the six sectors, trailing 24 months.

TRAILING 24 MONTHS

13

transactions closed in these six sectors

7 of 11

named sellers were bought by a company in their own or an adjacent field

Ranked the leading privately owned sell-side M&A advisor in the world in PitchBook's Q2 2026 Global League Tables (Benchmark International).

MARTIANCRAFT HAS BEEN ACQUIRED BY WALNUT CAPITAL PARTNERS

Software design and development for mobile, Mac, and backend systems

MANAGED IT & CLOUD

EMC Networks by CAPCON HAS BEEN ACQUIRED BY CAPCON

Dedicated leased lit fiber for schools, hospitals, and libraries

TELECOM & UCAAS

ClearLine Networks HAS BEEN ACQUIRED BY ZEUS Fire and Security

Voice and data cabling, audiovisual, and security systems

SYSTEMS INTEGRATION

HTS HIGH TECH SOLUTIONS HAS BEEN ACQUIRED BY AI FIRE

Fire alarm, security, access control, and video surveillance systems

SYSTEMS INTEGRATION

SHEFFIELD SCIENTIFIC A TRM Company HAS BEEN ACQUIRED BY trm

Asset management consulting and risk software for power generators

SYSTEMS INTEGRATION

PARAGON MANUFACTURING CORP HAS BEEN ACQUIRED BY BlueRock Global

Build-to-print cables, harnesses, and electromechanical assemblies

ELECTRONICS & HARDWARE

BOOSTR DIGITAL DISPLAYS HAS BEEN ACQUIRED BY BALIUS PARTNERS

Indoor and outdoor display assemblies for school sports programs

ELECTRONICS & HARDWARE

SOLAR ELECTRONICS COMPANY HAS BEEN ACQUIRED BY ASSESSIMUS

Test equipment for electromagnetic compatibility laboratories

ELECTRONICS & HARDWARE

AMERICAN PHOTONICS HAS BEEN ACQUIRED BY BlueRock Global

Precision optical components and coatings for laser systems

ELECTRONICS & HARDWARE

Complete Control Services, Inc. HAS BEEN ACQUIRED BY Amtech DRIVES

Instrumentation, calibration, and controls integration

ELECTRONICS & HARDWARE

HAS BEEN ACQUIRED BY CEMTREX

Instrumentation and wireless sensing for satellites and launch vehicles

GOVERNMENT TECHNOLOGY

+2

Two additional transactions remain confidential.

Each tile links to the announcement on benchmarkintl.com. Transactions closed in the 24 months to September 2026. Company names and marks are the property of their owners.

Who Is Buying

Owners of technology businesses draw bids from six types of buyer, and Benchmark International clients were acquired by five of them.

Public and large private strategics

Buying capability, customers, and scarce skills faster than they can be built, and paying with cash from operations.

ACTIVE IN THE 2026 MARKET

accenture, cognizant, Motorola Solutions, Booz Allen, Leonardo DRS, 4TM Technologies, paloalto Networks, servicenow

ACQUIRERS OF BENCHMARK CLIENTS

CEMTREX

Managed service consolidators

Platforms that add managed IT providers with contracted monthly revenue and underwrite the recurring base.

ACTIVE IN THE 2026 MARKET

Evergreen, The 20 MSP, Integris, THRIVE, COMPASS MSP, magna5, MYRIAD360, Net@Work

ACQUIRERS OF BENCHMARK CLIENTS

trm

Security, audiovisual, and integration platforms

Sponsor-backed integrators that buy regional firms for tenure, local service density, and technician headcount.

ACTIVE IN THE 2026 MARKET

PAVION CONNECT AND PROTECT, convergint, everon, Securitas Technology, AVI-SPL, 26N, sciens Building Solutions

ACQUIRERS OF BENCHMARK CLIENTS

ZEUS Fire and Security, AI FIRE

Private equity firms and family offices

Sponsors buying founder-owned technology businesses directly, with debt that is lower than a year ago.

ACTIVE IN THE 2026 MARKET

THOMABRAVO, KKR, EQT, KNOX LANE, TRANSOM CAPITAL GROUP, TIDEROCK, ALIGN CAPITAL PARTNERS, ARCLINE

ACQUIRERS OF BENCHMARK CLIENTS

BlueRock Global Private Equity, WALNUT CAPITAL PARTNERS, BALIUS PARTNERS

Fiber operators and infrastructure investors

Incumbents and infrastructure funds buying local fiber networks and the customers attached to them.

ACTIVE IN THE 2026 MARKET

TDS, verizon, AT&T, Zayo, Stonepeak, Point Broadband, ezee FIBER, vero FIBER, Rightfiber

Foreign strategics and operating companies

Buyers entering the United States by acquisition and private operating companies adding to an existing business.

ACTIVE IN THE 2026 MARKET

Softcat, Persistent, SOPHOS, Barracuda

ACQUIRERS OF BENCHMARK CLIENTS

ASSESSIMUS, CAPCON, Amtech DRIVES

The eleven Benchmark International clients named on page 13 were acquired by one public strategic, three sponsor-backed platforms, four private equity and investment firms, one foreign strategic, and two operating companies.

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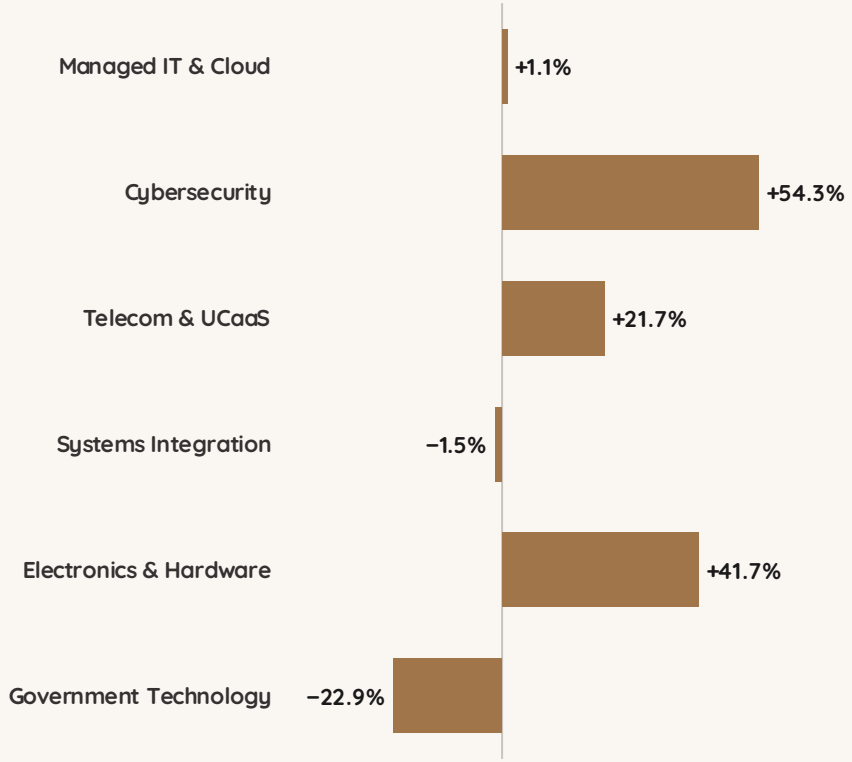
Buyers listed as active are named in technology transactions announced between January 2025 and October 2026, covered on pages 11 and 12 of this report or in announcements linked there. Acquirers of Benchmark International clients are from announcements on benchmarkintl.com and each buyer's own materials, including engagements before 2025; Zeus Fire and Security is backed by Access Holdings, AI Fire by Blackstone, and TRM by 424 Capital, and CapCon Networks and Amtech Drives are operating companies with no sponsor identified. Names are the property of their owners.

Public Companies: Market Performance

Share prices rose a median 54% at security companies and 42% at electronics manufacturers, while government contractors fell 23%.

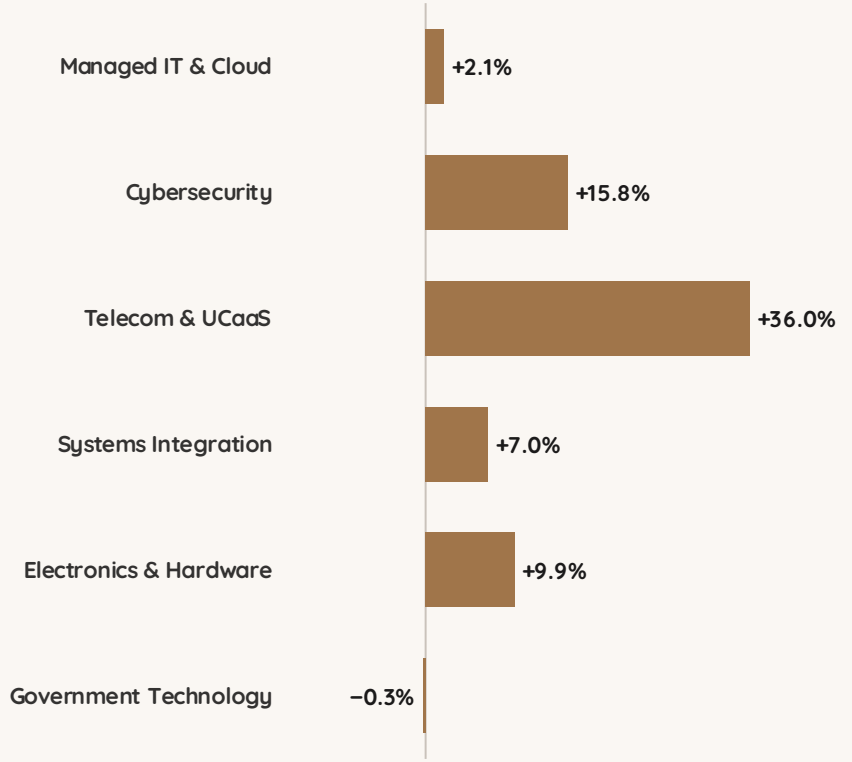
Median change in share price over 52 weeks

Share prices dated October 12 to 19, 2026, against a year earlier



Median change in EBITDA, latest fiscal year

Reported EBITDA for the latest fiscal year against the year before



WHAT THE MARKET IS PRICING

33 of 51
listed technology companies trade above their share price of a year ago

12.9x
median enterprise value to trailing EBITDA today, against 12.6x a year ago

4 of 6
peer groups carry a higher median multiple of EBITDA than a year ago

Medians of 51 listed companies in six peer groups, listed on pages 18 to 20. Source: StockAnalysis, retrieved October 8 to 19, 2026. EBITDA is as reported and includes stock compensation expense. Overall multiples cover the 46 companies with a comparable reading today and 45 a year ago; Cybersecurity medians rest on three companies each. Telecom EBITDA growth is lifted by Five9 and Ooma, which were set against very small bases and are excluded.

Revenue Growth Trends

Electronics manufacturers are forecast to grow 24.6% this year after two years of decline, and security company growth has held at 13% to 19%.

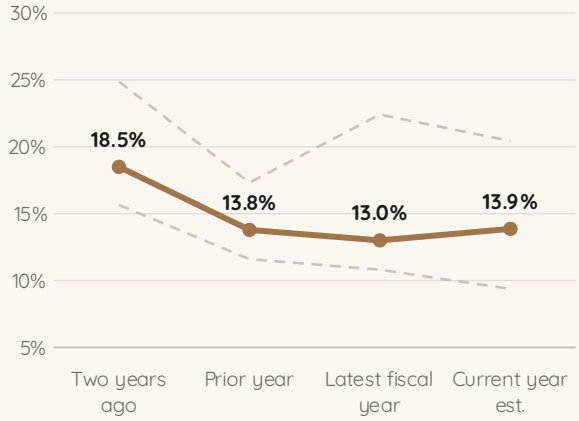
Managed IT & Cloud

Median revenue growth, with the 25th and 75th percentile companies



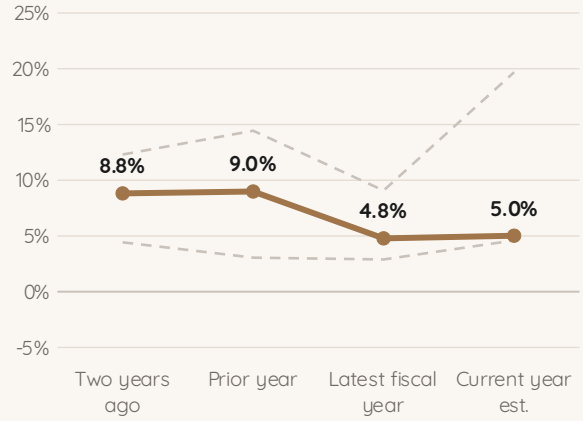
Cybersecurity

Median revenue growth, with the 25th and 75th percentile companies



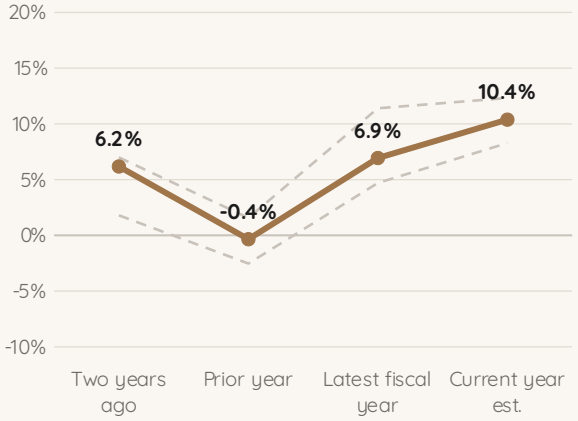
Telecom & UCaaS

Median revenue growth, with the 25th and 75th percentile companies



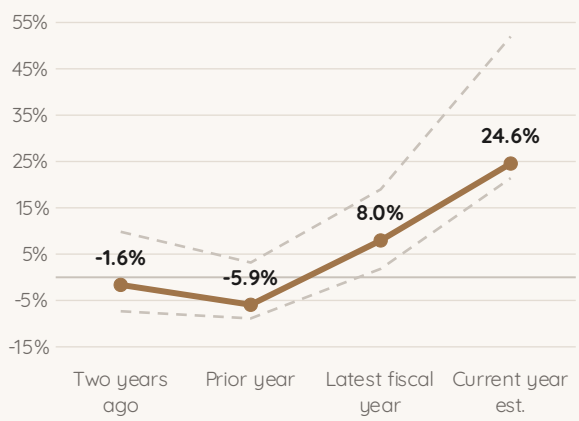
Systems Integration

Median revenue growth, with the 25th and 75th percentile companies



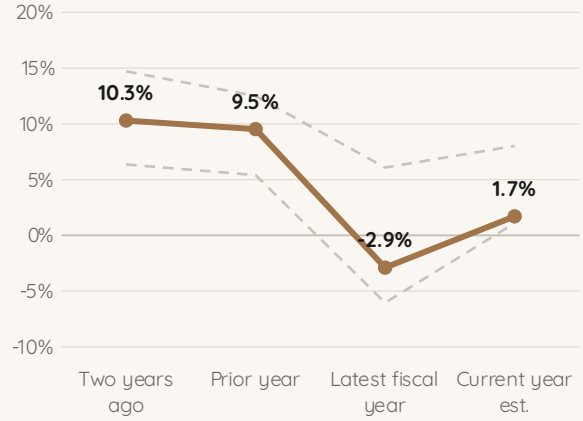
Electronics & Hardware

Median revenue growth, with the 25th and 75th percentile companies



Government Technology

Median revenue growth, with the 25th and 75th percentile companies



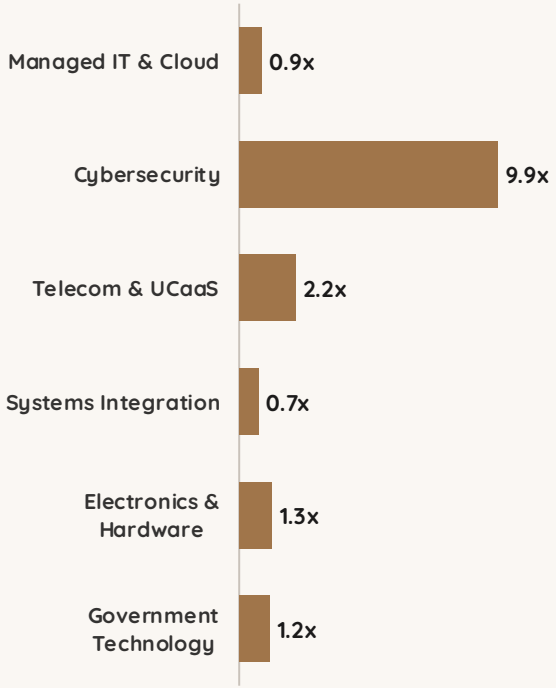
Median revenue growth of the listed peer group by fiscal year; dashed lines mark the 25th and 75th percentile companies. Current year estimates are analyst consensus from StockAnalysis, retrieved October 8 to 19, 2026, and growth includes acquisitions. Fiscal years end at different dates, and next year estimates are left out because the source publishes them only to subscribers. TDS is excluded from the two years ago reading because the UScellular sale restated its history.

Public Companies: Valuation Metrics

Median EV to EBITDA is higher than a year ago at four of six peer groups, led by electronics manufacturers at 17.4x against 12.1x.

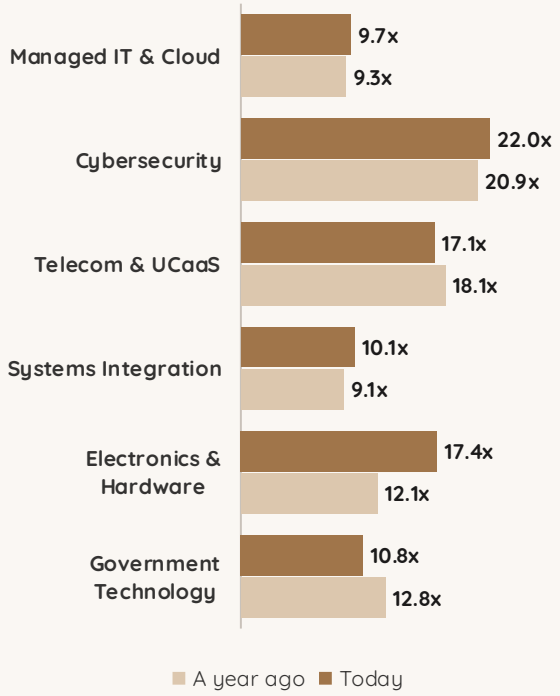
Median enterprise value to revenue

Trailing twelve months



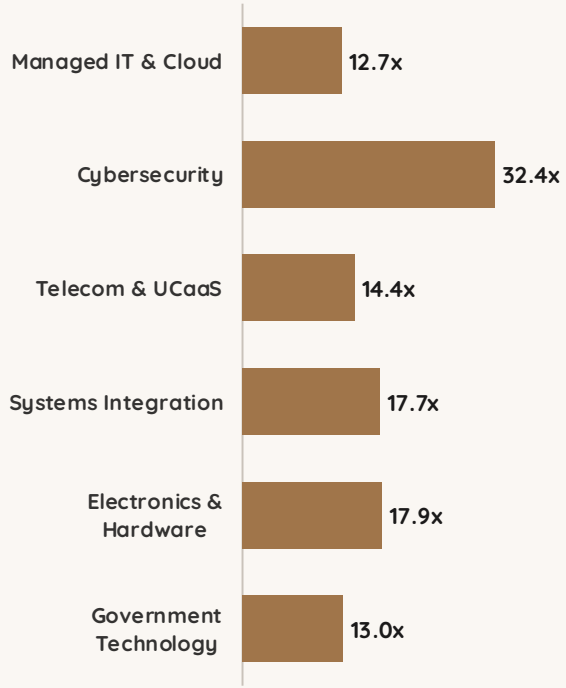
Median enterprise value to EBITDA

Trailing twelve months, today, and a year ago



Median forward price to earnings

Share price to consensus earnings for the next year



DEAL MULTIPLES FOR REFERENCE

12.5x
median EV to EBITDA on US buyouts closed in 2025 (PitchBook, StepStone SPI)

10.3x
expected FY2027 adjusted EBITDA: TTM Technologies for the Ophir Optics business, as stated by TTM

9.1x
trailing EBITDA to March 2026: Persistent Systems for Nagarro, as reported

7.0x
average EBITDA multiple, GF Data middle-market deals, all industries, Q2 2026 (Mercer Capital)

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Medians by peer group, which can move with one or two companies in a group of nine or fewer. Source: StockAnalysis, retrieved October 8 to 19, 2026. Multiples use reported EBITDA including stock compensation, and Cybersecurity EV to EBITDA rests on three of eight companies because the others are negative or above 60x; the year-ago multiple is the reading at the quarter-end nearest September 30, 2025, and the TDS reading is excluded because its enterprise value then included debt retired in the UScellular sale.

Public Company Metrics: Managed IT and Cybersecurity

Managed IT and cloud companies trade at a median 9.7x EBITDA, while security software trades at a median 9.9x revenue.

COMPANY	TICKER	MARKET CAP ($B)	ENTERPRISE VALUE ($B)	SHARE PRICE, 52 WEEKS	EV / REVENUE	EV / EBITDA TODAY	EV / EBITDA A YEAR AGO	FORWARD P/E	REVENUE GROWTH, TRAILING	EBITDA MARGIN	REVENUE GROWTH, CURRENT YEAR EST.	EBITDA GROWTH, LATEST FISCAL YR
MANAGED IT & CLOUD												
CDW	CDW	18.8	24.9	+1.1%	1.06x	12.4x	13.5x	13.2x	+7.4%	8.6%	+8.1%	+0.8%
Insight Enterprises	NSIT	4.7	6.1	+48.8%	0.71x	9.7x	9.1x	12.7x	+2.7%	7.3%	+7.1%	−9.3%
ePlus	PLUS	2.4	2.1	+33.2%	0.86x	11.2x	9.3x	17.2x	+16.2%	7.7%	n.a.	+52.7%
PC Connection	CNXN	2.4	2.0	+59.7%	0.69x	15.3x	10.9x	21.9x	+3.2%	4.5%	n.a.	+0.8%
Kyndryl	KD	2.9	5.7	−51.4%	0.38x	4.4x	7.3x	5.4x	−0.6%	8.8%	−2.0%	+12.8%
DXC Technology	DXC	2.2	4.4	+4.0%	0.35x	3.2x	3.0x	5.0x	−2.4%	10.9%	−3.8%	−27.1%
Accenture	ACN	139.9	140.5	−0.9%	1.87x	10.3x	13.2x	16.1x	+6.5%	18.1%	+4.4%	+15.1%
Cognizant	CTSH	29.7	30.8	−1.1%	1.42x	7.6x	8.5x	10.9x	+5.6%	18.6%	+5.2%	+8.9%
EPAM Systems	EPAM	6.3	5.7	−14.5%	1.01x	7.5x	11.2x	9.0x	+10.8%	13.4%	+3.7%	+2.1%
Median				**+1.1%**	**0.86x**	**9.7x**	**9.3x**	**12.7x**	**+5.6%**	**8.8%**	**+4.4%**	**+2.1%**
CYBERSECURITY												
CrowdStrike	CRWD	234.0	229.8	+89.0%	43.05x	n.m.	n.m.	n.m.	+24.3%	2.0%	+24.8%	n.m.
Palo Alto Networks	PANW	284.0	283.5	+67.0%	24.77x	n.m.	n.m.	n.m.	+24.5%	13.6%	+23.5%	+17.4%
Fortinet	FTNT	126.2	122.7	+106.0%	16.02x	46.5x	28.1x	49.0x	+18.8%	34.5%	+19.4%	+15.8%
Zscaler	ZS	34.7	33.1	−29.4%	9.83x	n.m.	n.m.	42.2x	+25.4%	1.3%	+17.3%	n.m.
Okta	OKTA	32.7	30.5	+112.0%	9.92x	n.m.	n.m.	45.9x	+11.2%	10.4%	+10.4%	n.m.
Tenable	TENB	4.1	4.2	+26.4%	4.04x	n.m.	n.m.	18.1x	+9.9%	5.2%	+7.9%	+119.8%
Qualys	QLYS	6.3	5.6	+41.7%	7.99x	22.0x	18.5x	22.5x	+10.3%	36.2%	+9.8%	+14.9%
Check Point	CHKP	14.1	11.8	−27.5%	4.29x	14.0x	20.9x	12.8x	+4.6%	30.6%	+2.8%	−4.6%
Median				**+54.3%**	**9.88x**	**22.0x**	**20.9x**	**32.4x**	**+15.0%**	**12.0%**	**+13.9%**	**+15.8%**

Source: StockAnalysis, retrieved October 8 to 19, 2026; share prices are dated October 12 to 19. Multiples and margins use reported trailing EBITDA, which includes stock compensation expense, and EBITDA growth compares the latest completed fiscal year with the year before. n.m. marks a figure that is negative, above 60x, or off a very small base and is left out of the median; n.a. is not available. Year-ago multiples are the reading at the quarter-end nearest September 30, 2025 (June 30, 2025 for Computacenter, which reports half-yearly). KD (Kyndryl) and DXC report EBITDA after large depreciation and amortization, and PANW growth includes the CyberArk acquisition.

Public Company Metrics: Telecom and Systems Integration

Telecom and UCaaS providers trade at a median 17.1x EBITDA, down from 18.1x a year ago, and integrators grew revenue a median 11.4%.

COMPANY	TICKER	MARKET CAP ($B)	ENTERPRISE VALUE ($B)	SHARE PRICE, 52 WEEKS	EV / REVENUE	EV / EBITDA TODAY	EV / EBITDA A YEAR AGO	FORWARD P/E	REVENUE GROWTH, TRAILING	EBITDA MARGIN	REVENUE GROWTH, CURRENT YEAR EST.	EBITDA GROWTH, LATEST FISCAL YR
TELECOM & UCAAS												
RingCentral	RNG	6.3	7.3	+182.8%	2.85x	17.7x	11.9x	14.3x	+5.2%	16.0%	+5.0%	+50.9%
8x8	EGHT	0.28	0.55	+2.6%	0.73x	12.5x	15.7x	5.2x	+3.7%	5.9%	+2.7%	−5.9%
Zoom	ZM	28.5	21.3	+21.7%	4.21x	15.8x	14.9x	15.9x	+5.0%	26.7%	+4.6%	+36.0%
Five9	FIVN	2.4	2.6	+47.4%	2.16x	17.1x	20.5x	n.a.	+8.9%	12.6%	+10.3%	n.m.
Bandwidth	BAND	1.39	1.8	+180.7%	2.14x	43.9x	28.2x	23.2x	+9.2%	4.9%	+20.2%	+32.1%
Ooma	OOMA	0.55	0.60	+82.0%	1.95x	22.0x	24.2x	14.5x	+17.2%	8.8%	+19.7%	n.m.
Crexendo	CXDO	0.18	0.17	−7.2%	2.09x	18.7x	25.9x	13.9x	+25.5%	11.2%	+42.6%	+68.4%
Shenandoah Telecom	SHEN	0.58	1.29	−19.8%	3.49x	11.0x	13.1x	n.a.	+5.0%	31.6%	+4.8%	+55.1%
TDS	TDS	3.9	2.9	−12.7%	2.35x	9.2x	n.m.	n.m.	+3.8%	25.6%	+1.1%	+31.8%
Median				**+21.7%**	**2.16x**	**17.1x**	**18.1x**	**14.4x**	**+5.2%**	**12.6%**	**+5.0%**	**+36.0%**
SYSTEMS INTEGRATION												
Wesco	WCC	16.8	22.7	+55.8%	0.90x	14.2x	11.4x	18.7x	+12.5%	6.3%	+11.3%	+1.1%
ScanSource	SCSC	1.21	1.23	+40.9%	0.38x	9.7x	7.7x	12.4x	+6.1%	4.0%	+10.4%	+10.4%
Climb Global	CLMB	0.61	0.56	−2.8%	0.78x	15.2x	14.5x	20.2x	+23.1%	5.2%	+12.3%	+9.1%
TD SYNNEX	SNX	19.7	25.0	+57.4%	0.33x	10.1x	9.1x	10.4x	+24.1%	3.3%	+28.8%	+10.1%
Unisys	UIS	0.17	0.60	−39.5%	0.31x	6.5x	8.9x	2.5x	−0.6%	4.8%	−1.5%	−17.1%
Napco Security	NSSC	1.27	1.14	−17.4%	5.65x	18.0x	28.2x	21.7x	+11.4%	31.3%	+8.3%	+28.9%
Computacenter	CCC	7.8	7.6	+99.5%	0.47x	13.8x	8.0x	20.5x	+53.5%	3.0%	+25.5%	+3.0%
Bechtle	BC8	4.9	5.6	−1.5%	0.73x	9.9x	11.8x	17.7x	+7.7%	6.4%	+8.3%	n.a.
ADT	ADT	5.0	12.8	−20.1%	2.47x	4.7x	5.7x	7.2x	+2.1%	52.2%	+1.8%	+4.8%
Median				**−1.5%**	**0.73x**	**10.1x**	**9.1x**	**17.7x**	**+11.4%**	**5.2%**	**+10.4%**	**+7.0%**

Source: StockAnalysis, retrieved October 8 to 19, 2026; share prices are dated October 12 to 19. Multiples and margins use reported trailing EBITDA, which includes stock compensation expense, and EBITDA growth compares the latest completed fiscal year with the year before. n.m. marks a figure that is negative, above 60x, or off a very small base and is left out of the median; n.a. is not available. Year-ago multiples are the reading at the quarter-end nearest September 30, 2025 (June 30, 2025 for Computacenter, which reports half-yearly). TDS sold UScellular in August 2025, so its year-ago multiple is not comparable. Computacenter growth is trailing twelve months built from half-year reports and likely reflects a change in how it reports revenue and acquisitions. Bechtle EBITDA growth is n/a due to source history.

Public Company Metrics: Electronics and Government Technology

Electronics manufacturers rose a median 42% and trade at 17.4x EBITDA, against government contractors that fell 23% and trade at 10.8x.

COMPANY	TICKER	MARKET CAP ($B)	ENTERPRISE VALUE ($B)	SHARE PRICE, 52 WEEKS	EV / REVENUE	EV / EBITDA TODAY	EV / EBITDA A YEAR AGO	FORWARD P/E	REVENUE GROWTH, TRAILING	EBITDA MARGIN	REVENUE GROWTH, CURRENT YEAR EST.	EBITDA GROWTH, LATEST FISCAL YR
ELECTRONICS & HARDWARE												
Jabil	JBL	29.9	32.1	+34.8%	0.90x	12.8x	11.3x	16.1x	+20.6%	7.0%	+24.6%	+18.7%
Flex	FLEX	32.4	35.4	+41.6%	1.26x	17.4x	12.1x	16.8x	+12.2%	7.2%	+24.2%	+15.1%
Celestica	CLS	34.9	35.3	+12.5%	2.27x	22.6x	26.0x	20.4x	+47.3%	10.0%	+65.9%	+62.1%
Sanmina	SANM	9.4	10.0	+33.1%	0.78x	11.6x	11.3x	13.9x	+58.5%	6.8%	+74.1%	+9.9%
Plexus	PLXS	6.8	6.8	+90.7%	1.47x	22.1x	13.4x	25.5x	+14.2%	6.7%	+21.4%	+7.0%
Benchmark Electronics	BHE	2.5	2.5	+76.5%	0.89x	17.0x	10.2x	22.1x	+8.9%	5.2%	+12.9%	−12.5%
Kimball Electronics	KE	0.67	0.72	+1.8%	0.50x	7.5x	8.3x	17.9x	−3.7%	6.6%	+7.9%	+5.2%
TTM Technologies	TTMI	10.3	10.9	+72.3%	3.10x	21.5x	17.3x	14.4x	+27.6%	14.5%	+52.0%	+33.8%
Keysight	KEYS	57.1	57.3	+106.9%	8.83x	34.2x	26.7x	24.8x	+25.5%	25.3%	+32.4%	+4.5%
Median				**+41.6%**	**1.26x**	**17.4x**	**12.1x**	**17.9x**	**+20.6%**	**7.0%**	**+24.6%**	**+9.9%**
GOVERNMENT TECHNOLOGY												
Booz Allen Hamilton	BAH	8.9	12.6	−22.9%	1.13x	10.0x	12.6x	12.0x	−7.3%	11.3%	+1.7%	−9.2%
CACI	CACI	13.6	18.8	+19.5%	1.95x	15.7x	13.8x	18.4x	+10.9%	12.2%	+12.6%	+18.7%
SAIC	SAIC	5.6	8.2	+36.0%	1.10x	10.8x	10.0x	13.0x	−0.8%	10.2%	+0.5%	−0.3%
Leidos	LDOS	15.8	21.6	−31.8%	1.23x	9.1x	12.8x	10.4x	+3.4%	13.5%	+6.6%	+13.5%
Parsons	PSN	4.7	6.1	−47.5%	0.97x	12.9x	19.2x	13.3x	−5.8%	7.5%	−0.0%	−4.7%
ICF	ICFI	1.6	2.1	+1.4%	1.17x	10.8x	11.0x	11.8x	−7.9%	10.8%	+1.7%	−8.7%
Tyler Technologies	TYL	14.8	15.3	−29.1%	6.24x	33.1x	51.8x	25.2x	+8.2%	18.9%	+9.4%	+12.8%
Median				**−22.9%**	**1.17x**	**10.8x**	**12.8x**	**13.0x**	**−0.8%**	**11.3%**	**+1.7%**	**−0.3%**

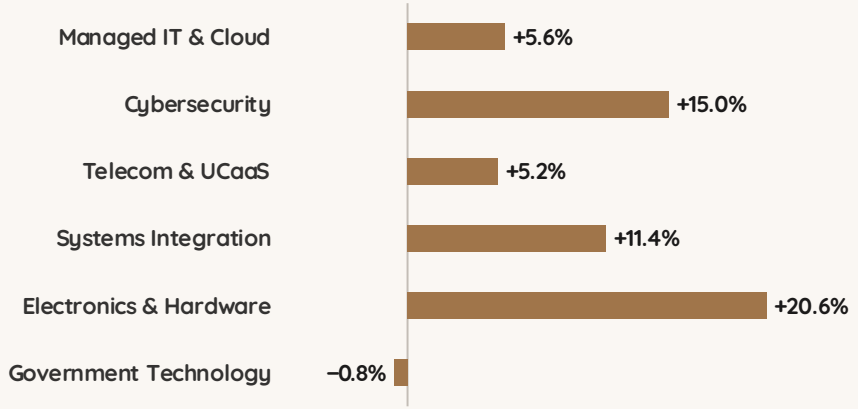
Source: StockAnalysis, retrieved October 8 to 19, 2026; share prices are dated October 12 to 19. Multiples and margins use reported trailing EBITDA, which includes stock compensation expense, and EBITDA growth compares the latest completed fiscal year with the year before. n.m. marks a figure that is negative, above 60x, or off a very small base and is left out of the median; n.a. is not available. Year-ago multiples are the reading at the quarter-end nearest September 30, 2025 (June 30, 2025 for Computacenter, which reports half-yearly). Sanmina growth includes the ZT Systems manufacturing business acquired in October 2025, and TTM Technologies and Flex show the multiple stated on the source page.

Public Companies: Operating Metrics

Electronics manufacturers are growing about 20% a year, government contractors are flat, and security software converts the most revenue to cash.

Revenue growth, trailing twelve months

Median by sector



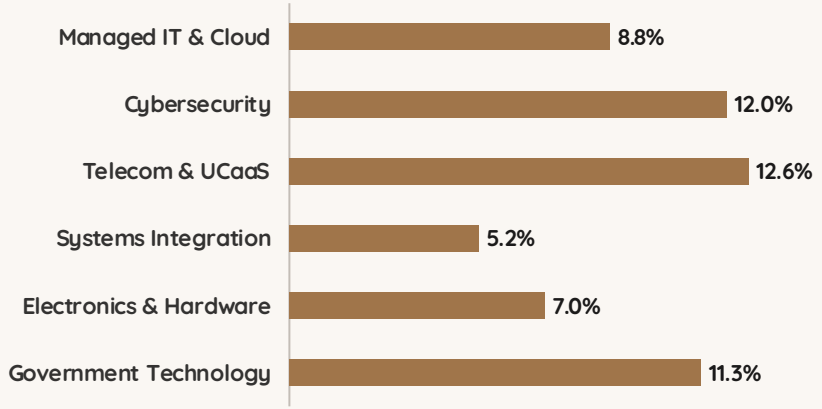
Fastest revenue growth among the 51 companies

Trailing twelve months against the prior twelve; growth includes acquisitions

Sanmina	+58.5%	Electronics & Hardware
Computacenter	+53.5%	Systems Integration
Celestica	+47.3%	Electronics & Hardware
TTM Technologies	+27.6%	Electronics & Hardware
Keysight	+25.5%	Electronics & Hardware
Crexendo	+25.5%	Telecom & UCaaS
Zscaler	+25.4%	Cybersecurity
Palo Alto Networks	+24.5%	Cybersecurity

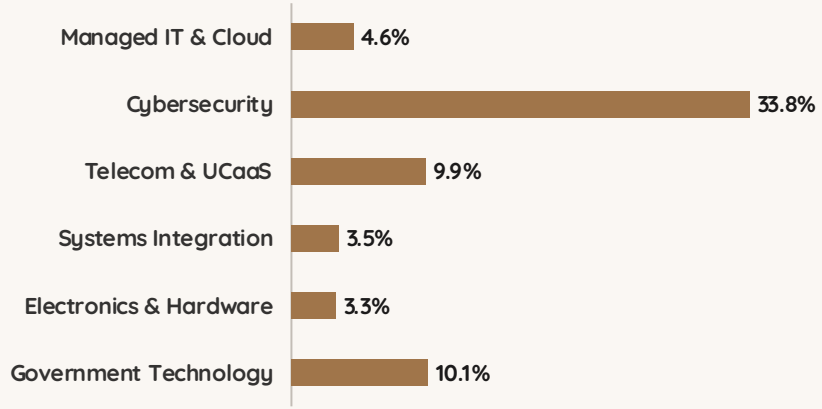
EBITDA margin, trailing twelve months

Median by sector, on reported EBITDA



Free cash flow margin, trailing twelve months

Median by sector



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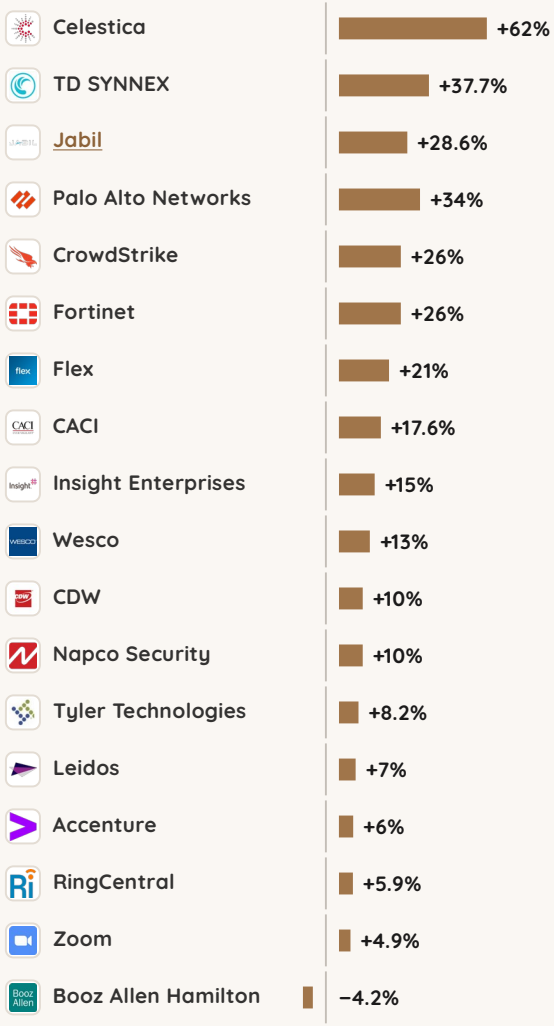
Source: StockAnalysis, retrieved October 8 to 19, 2026 (free cash flow margin as retrieved October 5 to 14). Trailing periods end between June and August 2026. EBITDA is as reported and is lower than the adjusted EBITDA companies present, most visibly for security software, where stock compensation is excluded from adjusted figures. Medians cover all listed companies in each sector.

Earnings and Commentary

Data center suppliers grew fastest, security vendors tied their outlook to AI adoption, and government contractors split on civilian exposure.

Revenue growth, latest reported quarter

Year over year, as stated in each earnings release; quarters ended June to August 2026



AI INFRASTRUCTURE DEMAND

Christine A. Leahy, Chair and Chief Executive Officer, CDW

"CDW delivered strong second quarter results as customers advanced investments in infrastructure modernization, cloud, and AI-enabled technologies."

John Engel, Chairman, President, and CEO, Wesco

"We have now posted four consecutive quarters of double-digit sales growth fueled by data centers."

Mike Dastoor, CEO, Jabil

"Our fiscal 2027 outlook reflects the strength of Jabil's diversified portfolio, with accelerating AI demand complemented by solid growth in automotive, healthcare, energy infrastructure, defense and aerospace, and warehouse and retail automation."

READ-THROUGH

Wesco has grown double digits for four straight quarters and TD SYNNEX grew 37.7%; distributors and contract manufacturers are the direct beneficiaries of the build-out.

SECURITY AND COMMUNICATIONS

George Kurtz, Founder and Chief Executive Officer, CrowdStrike

"Every enterprise will run on AI, and securing it is the largest market opportunity in our history."

Nikesh Arora, Chairman and Chief Executive Officer, Palo Alto Networks

"The latest advancements in AI are elevating cybersecurity to the top of the CIO priority list, and will serve as durable tailwinds as we progress towards our $20 billion FY30 NGS ARR target."

Vlad Shmunis, Founder, Chairman, and CEO, RingCentral

"Customers using at least one paid AI product now represent approximately 13% of ARR, having doubled year-over-year."

READ-THROUGH

RingCentral's paid AI products account for 13% of ARR, twice their share a year earlier.

GOVERNMENT AND PUBLIC SECTOR

Horacio Rozanski, Chairman and CEO, Booz Allen Hamilton

"Booz Allen is on track with the expectations we set for the fiscal year amid challenging market dynamics."

John Mengucci, President and Chief Executive Officer, CACI

"In a challenging environment, we grew free cash flow by 66%, delivered high-single digit organic revenue growth, expanded EBITDA margin to 12.3%, won $10 billion in contract awards, and grew both funded and total backlog."

Lynn Moore, Executive Chair, President, and Chief Executive Officer, Tyler Technologies

"Public sector demand remains healthy, reflecting sustained modernization priorities for the public sector that translated into record SaaS and total bookings."

READ-THROUGH

CACI grew 17.6% on a defense-weighted book while civilian-heavy Booz Allen fell 4.2%; the split is contract mix.

Figures and quotations are from each company's earnings release, linked from its name. Accenture growth is in US dollars, Palo Alto Networks growth reflects the CyberArk acquisition, Jabil growth is computed from reported revenue of $10,616 million against $8,252 million, and the CACI quotation describes its full fiscal year.

Key Cost and Demand Indicators

Component and copper prices turned up in 2026, data center construction is surging, and IT services employment keeps drifting lower.

Semiconductor and electronic component prices

Producer price index, semiconductor, and other electronic component manufacturing. Index, September 2021 = 100. Source: Bureau of Labor Statistics via FRED



CHANGE TO AUG 2026	
1 year	**+26.7%**
3 years	**+32.3%**
Since Sep 2021	**+37.7%**

Component prices were flat for four years and have risen sharply since February 2026, which raises input costs for manufacturers and integrators.

Copper price

Global price of copper, indexed from the monthly average in US dollars per metric ton. Index, September 2021 = 100. Source: International Monetary Fund via FRED



CHANGE TO JUL 2026	
1 year	**+38.6%**
3 years	**+59.8%**
Since Sep 2021	**+45.2%**

Copper feeds cabling, power, and fiber construction budgets, and it reached a record monthly average in 2026.

Private office construction, including data centers

Annualized spending; the Census Bureau counts data centers in this category. Index, September 2021 = 100. Source: US Census Bureau via FRED

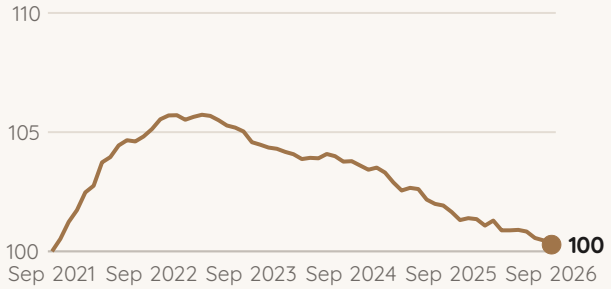


CHANGE TO AUG 2026	
1 year	**+29.8%**
3 years	**+53.4%**
Since Sep 2021	**+73.1%**

Data centers accounted for $85.0 billion of the August 2026 annual rate, against $49.1 billion a year earlier.

Employment in computer systems design and related services

All employees, seasonally adjusted. Index, September 2021 = 100. Source: Bureau of Labor Statistics via FRED



CHANGE TO SEP 2026	
1 year	**−1.3%**
3 years	**−4.1%**
Since Sep 2021	**+0.3%**

Headcount at IT services firms has fallen 5% from its March 2023 peak even as technology spending has grown.

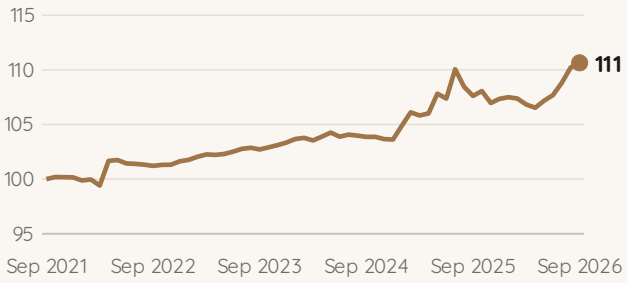
Each series is indexed to September 2021 and runs to its latest month: August 2026 for component prices and construction, July 2026 for copper, September 2026 for employment. Recent months are preliminary. The data center figures are from the Census Bureau construction spending release of October 1, 2026.

Key Cost and Demand Indicators (Continued)

Hosting prices are rising slowly, new orders and semiconductor output are running well above 2021, and the 10-year Treasury yield is close to 5%.

Data processing and hosting prices

Producer price index, data processing, hosting, and related services. Index, September 2021 = 100. Source: Bureau of Labor Statistics via FRED



CHANGE TO SEP 2026	
1 year	+2.8%
3 years	+7.7%
Since Sep 2021	+10.6%

Hosting and data processing prices are up 2.8% over the year, which shows steady but modest pricing power for providers with contracted revenue.

New orders for computers and electronic products

Manufacturers' new orders, seasonally adjusted. Index, September 2021 = 100. Source: US Census Bureau via FRED

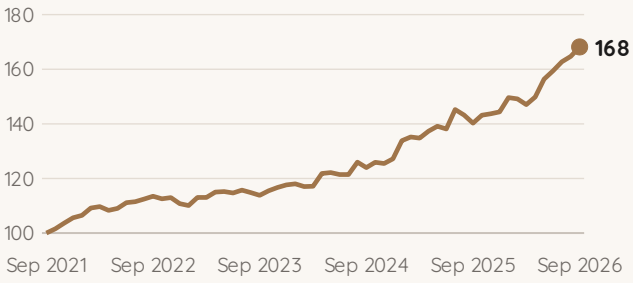


CHANGE TO AUG 2026	
1 year	+16.5%
3 years	+23.7%
Since Sep 2021	+31.8%

Orders are up 16.5% over the year and flat from July to August, so hardware demand is strong and has leveled off recently.

Semiconductor and electronic component output

Industrial production of semiconductors and other electronic components. Index, September 2021 = 100. Source: Federal Reserve via FRED

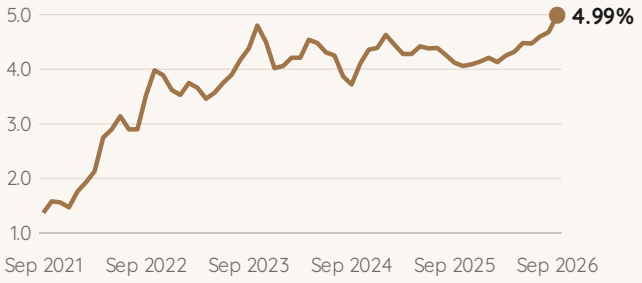


CHANGE TO SEP 2026	
1 year	+19.9%
3 years	+47.8%
Since Sep 2021	+68.2%

US output of semiconductors and electronic components is up 19.9% over the year, which supports the capacity and reshoring case.

10-year Treasury yield

Monthly average yield, percent. Source: Federal Reserve via FRED



CHANGE TO SEP 2026	
1 year	+0.87 pts
3 years	+0.61 pts
Since Sep 2021	+3.62 pts

The yield averaged 4.99% in September, which raises the cost of financing leveraged technology purchases against 2021.

Each series is indexed to September 2021 where an index is shown and runs to its latest month: September 2026 for hosting prices, semiconductor output, and the Treasury yield, and August 2026 for new orders. Recent months are preliminary. FRED series PCU518210518210, A34SNO, IPG3344S, and GS10; the Treasury yield is shown in percent and its changes in percentage points.

03

About Benchmark

Benchmark International's Middle Market team represents owners of privately held companies with $100 million to $500 million of total enterprise value in strategic sales, mergers, and qualifying change-of-control transactions. The first step is a confidential conversation about your goals, your company, and your options, with no pressure and no commitment.

26 About Benchmark International

27 Connect with our team

28 Sources



Benchmark International

The world's leading privately owned sell-side M&A advisor focused on five industries.

BENCHMARK® INTERNATIONAL

Benchmark International advises owners of privately held companies around the world, and its Middle Market team represents owners of companies with $100 million to $500 million of total enterprise value in strategic sales, mergers, and qualifying change-of-control transactions. The first step is a confidential conversation about your goals, your company, and your options.

#1

Privately owned sell-side M&A advisor worldwide, based on PitchBook's Q2 2026 Global League Tables

$100M to $500M

Total enterprise value range the Middle Market team serves

5

Focused industry groups with dedicated sector expertise

15

Global offices across the Americas, Europe, and Africa

RECOGNITION

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- TECHNOLOGY

Ranking based on PitchBook's Q2 2026 Global League Tables, as published at benchmarkintl.com. Awards as shown on the Benchmark International Middle Market site.

Connect With Us

A first conversation is confidential and carries no obligation.

CONFIDENTIAL. NO PRESSURE. NO COMMITMENTS.

It all starts with a conversation.

Want to explore your options or know more? Our first step is always a confidential conversation exploring your goals, your company, and your options. Owners considering a strategic sale, merger, or qualifying change-of-control transaction in any of the six sectors, and the advisors who work with them, are welcome to call or email.



Jared Hardin

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WHAT HAPPENS NEXT

01 Share a few details

Tell us about your company and what you are considering, held in strict confidence.

02 Talk with a Managing Director

A senior member of the team sets up a private conversation at a time that suits you.

03 See your options clearly

Understand the paths to a strategic sale, merger, or change-of-control transaction and what each could mean.

SCHEDULE A CONVERSATION



Sources

Sources linked on each page.

KEY TRENDS AND COST PRESSURES

Gartner; Synergy Research Group; Omdia; Federal Reserve; US Treasury; GF Data via ACG; Gartner; FBI; Department of War CIO; Global Electronics Association; Wiley Rein; FedScoop; SpacePolicyOnline ; IBBA and M&A Source; American Bar Association; Troutman Pepper Locke; White & Case; Cushman & Wakefield via CRE Daily; Central Banking; SRS Acquiom via Fasken

WHAT WE'RE READING

Gartner; Channel Dive; Global Electronics Association; Department of War, Chief Information Officer ; McGuireWoods analysis

OUR VIEW

GF Data via ACG; IBBA and M&A Source; figures drawn from pages 5 to 24 of this report

RECENT TRANSACTIONS

Cognizant; Reuters; H.I.G. Capital; Channel Dive; SecurityWeek; Constellation Research; Proofpoint; TDS Telecom; Light Reading; Business Wire; SecurityInfoWatch; Angel One; EY; Motorola Solutions; TTM Technologies; MKS; Booz Allen; Washington Exec; Leonardo DRS; GovCon Wire

BENCHMARK INTERNATIONAL TRANSACTIONS

Benchmark International; buyer ownership from each buyer's own materials

PUBLIC COMPANIES: VALUATION

PitchBook; GF Data via ACG; IBBA and M&A Source; StockAnalysis; Mercer Capital; TTM Technologies; Angel One

PUBLIC COMPANIES: OPERATING METRICS

StockAnalysis

EARNINGS AND COMMENTARY

Celestica; TD SYNNEX; Palo Alto Networks; CrowdStrike; Fortinet ; Flex; CACI; Insight Enterprises; Wesco; CDW; Napco Security; Tyler Technologies ; Leidos; Accenture; RingCentral; Zoom; Booz Allen Hamilton; Jabil

COST AND DEMAND INDICATORS

FRED series PCU33443344 (Bureau of Labor Statistics) ; FRED series PCOPPUSDM (International Monetary Fund) ; FRED series PROFCONS (US Census Bureau) ; FRED series CES6054150001 (Bureau of Labor Statistics) ; Census Bureau construction spending release of October 1, 2026 ; FRED series PCU518210518210 (Bureau of Labor Statistics) ; FRED series A34SNO (US Census Bureau) ; FRED series IPG3344S (Federal Reserve); FRED series GS10 (Federal Reserve)

FIRM OVERVIEW

Benchmark International, Our Success

BENCHMARK INTERNATIONAL RECORDS

Transaction records and the engagement portfolio as of October 1, 2026; announced transactions as published at benchmarkintl.com/insights , each linked from its tile